CHAPTER TWELVE

TATA POWER

A Push for Efficiency

Tata Power was formed in the year 2000 when three enterprises of what was collectively called the Tata Electric Companies (TEC) were merged. It was a company that Ratan was closely associated with.

Ratan was inducted into the board of TEC in May 1989 and, two months later, was appointed its deputy chairman. Since then, his involvement in the power companies became deeper. In the same year, an agreement was signed by Tata Power Company to form the Tata BP Solar India Ltd to promote renewable energy. Ratan had realized early on how renewable energy would gain in importance and serve a vital social need of fighting climate change, says Praveer Sinha, MD, Tata Power.

Ratan pushed for the modernization and upgradation of the three electrical companies that had been cruising along comfortably in the steady revenues that the government's electricity pricing policy assured them. He chose the Tennessee Valley Authority of USA, which had been at the forefront of electricity generation since 1933, to help in the process. 'You should not be afraid of technology. It may have initial problems. Finally, it will drive efficiency,' Sinha recalls Ratan constantly advising the senior management of the power companies.

Two years after the agreement with Tennessee Valley Authority, in 1996, Ratan pushed the companies to look at renewable sources of energy to serve the twin goals of building new business opportunities and fulfilling the social need of protecting the environment by decreasing carbon footprint. This was important as only 20 per cent of the power produced was coming from hydroelectricity. To pursue this goal, the Tata Power Company moved